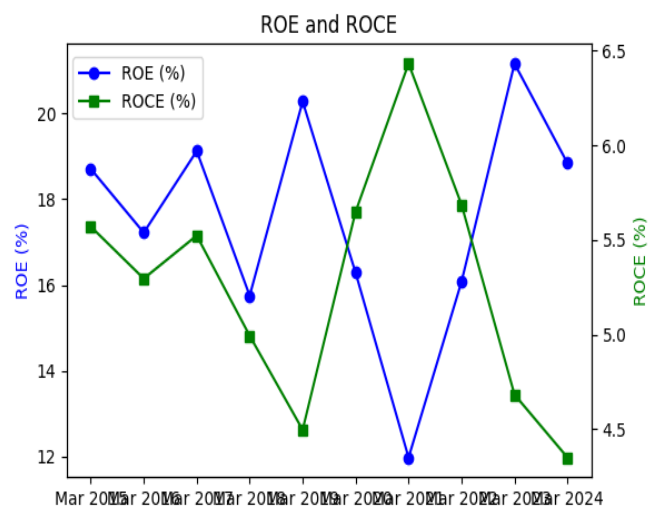
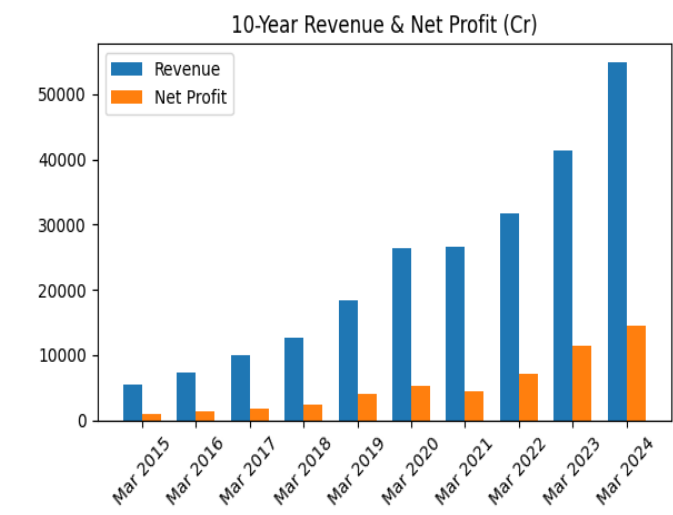
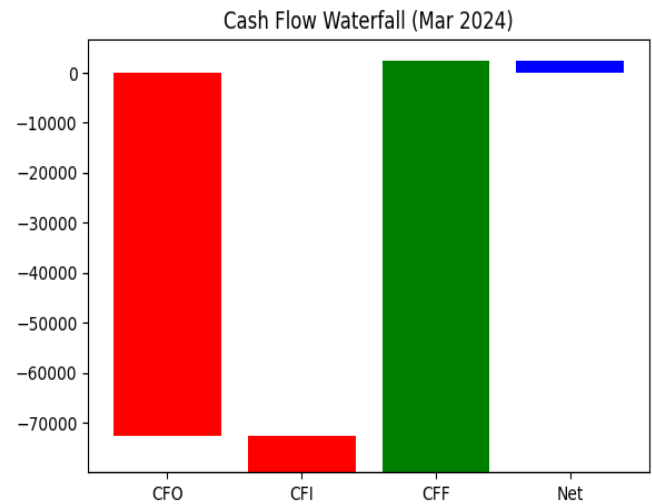
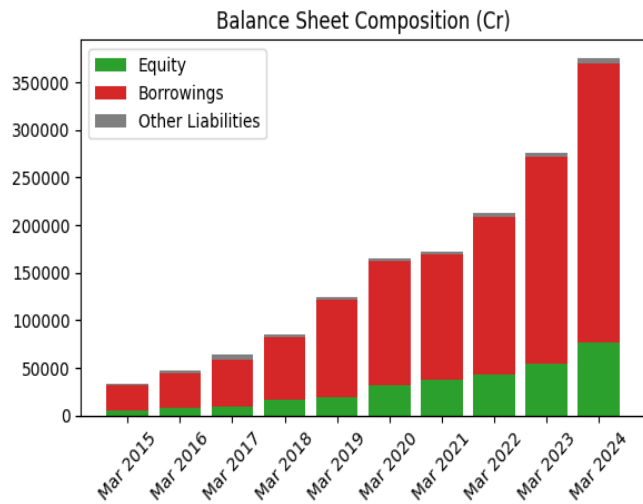


Bajaj Finance Ltd (BAJFINANCE)

Revenue ■62,279 Cr	Net Profit ■15,389 Cr	ROE 18.8%
ROCE 4.4%	CFO Quality Accrual Risk	Allocation Growth Funded by Debt





Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Growth Funded by Debt